Supplier Selection Policy

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Section 1 Purpose and Qualification

This policy guides supplier selection and ongoing category resilience. Teams should consider supplier capability, required qualifications, commercial suitability, continuity, and the needs of the business unit. Qualification status is evidence for a decision, not a substitute for the applicable approval or contract requirements.

Section 2 Critical Categories and Limited Alternatives

Critical categories require heightened attention to continuity and alternative sourcing. A category with limited qualified alternatives can create operational risk even where current purchases satisfy approval and contract requirements.

Section 3 Concentration Mitigation Review

High spend concentration with one qualified supplier should trigger a mitigation review. Teams may document alternatives, transition feasibility, contingency arrangements, or an accepted business rationale. Supplier concentration is a risk finding and is not an automatic compliance FAIL.

Section 4 Decision Records

The decision record should identify the category, participating suppliers where relevant, qualification considerations, and any mitigation owner. Procurement Governance may request additional review for critical categories, but this policy creates no automated approval threshold or contract rule.